

“For reasons I have never understood, people like to hear that the world is going to hell.”

—Historian Deirdre McCloskey

OPTIMISM IS THE best bet for most people because the world tends to get better for most people most of the time.

But pessimism holds a special place in our hearts. Pessimism isn't just more common than optimism. It also sounds smarter. It's intellectually captivating, and it's paid more attention than optimism, which is often viewed as being oblivious to risk.

Before we go further we should define what optimism is. Real optimists don't believe that everything will be great. That's complacency. Optimism is a belief that the odds of a good outcome are in your favor over time, even when there will be setbacks along the way. The simple idea that most people wake up in the morning trying to make things a little better and more productive than wake up looking to cause trouble is the foundation of optimism. It's not complicated. It's not guaranteed, either. It's just the most reasonable bet for most people, most of the time. The late statistician Hans Rosling put it differently: “I am not an optimist. I am a very serious possibilist.”

Now we can discuss optimism's more compelling sibling: pessimism.

December 29th, 2008.

The worst year for the economy in modern history is about to close. Stock markets around the world had collapsed. The global financial system was on day-to-day life support. Unemployment was surging.

As things looked like they couldn't get worse, *The Wall Street Journal* published a story arguing that we hadn't seen anything yet. It ran a front-page article on the outlook of a Russian professor named Igor Panarin whose economic views rival the flair of science fiction writers.

The *Journal* wrote: